

HEDGEYE DAILY DIGEST

August 11, 2026 · Reader timezone GMT+8

*The macro regime has turned. Hedgeye's monthly GIP model rotated the U.S. into **#Quad3 (Stagflation)** for August — the fourth consecutive monthly Quad flip in a “War & Peace” sequence (**3-1-2-1-2-2**) — and the firm rebuilt the book around **Defensive Compounders** (Healthcare, REITs, Insurance, Dividend Aristocrats) while the **US Dollar broke Bearish TRADE and TREND**. The most consequential mid-month move: flipping the Dollar from long to short (**UUP** → **short**, **FXE** → **long**), powering **Gold** (+7.4% on the week, back to Bullish TRADE and TREND) and keeping U.S. equities in melt-up mode into **Wednesday's July CPI** — a print Keith McCullough expects to be “dovish,” and a short-duration catalyst before inflation re-accelerates.*

Today's Publications

ETF Pro Plus: August Update (Q3 2026)

ETF Pro Plus · 08/10/26 02:05 PM EDT

The flagship monthly rotated the book again. Unlike July's clean disinflationary **#Quad4** pivot, the August monthly Quad shifted to **#Quad3 Stagflation**, extending the U.S. Quad path to **3 → 1 → 2 → 1 → 2 → 2**. The confirmed sequence: **May = #Quad2 ✓ → June = #Quad1 ✓ → July = #Quad4 ✓ → August = #Quad3**. The July Nowcast held at **+3.47% y/y headline CPI** (unchanged from the 7/27 estimate), with roughly **+18bps of sequential re-inflation** — a moderation that traces almost entirely back to **energy**, framed as a potential **second Fed miss**.

The growth/inflation outlook stays two-sided: **Q3 2026 GDP 2.05% YoY** and **Q3 CPI 3.69% YoY** (off the May peak but re-accelerating m/m in August), stepping to **Q4 GDP 2.32%** and **Q4 CPI 3.87%**. The QoQ SAAR growth path decelerates **3.13% → 2.92% → 1.54%** into 4Q26E. The forecast CPI path: **August accelerate (+18bps to ~3.65%, 91% probability), September disinflate, October accelerate, November disinflate, December accelerate, January 2027 accelerate**, then a sharper disinflation leg **February–May 2027** as oil comps roll over.

Positioning was overhauled to **36 total positions — 23 longs, 13 shorts**. Duration was the right side of **#Quad4** and the wrong side of **#Quad3**: the team **exited long-duration Treasuries (TLT, ZROZ, VCLT, LQD, BNDD)** and flipped **TLT and LQD to shorts**, rotating into inflation-protected and floating-rate exposure (**VTIP, IVOL, CLOX, CLOZ, BUXX**). The most consequential single move: the **US Dollar broke Bearish TRADE and TREND**, so they flipped **UUP long → short and FXE short → long**. Added longs include **FAB, DESK, NOBL, COLO, ENZL, IPAY, RSP, EPHE, VTIP, CRAK, IVOL, HDV**; added shorts include **QAT, EWY, PTF, MEME, CARZ, PBD, MINV, LSEQ**; **EWZ** and **FXE** flipped to long.

Thematically: **Theme 1 (War & Peace Quads)** frames the 3-1-2-1-2-2 count; **Theme 2 (Flows & Market Structure)** notes the July “#Bag7” (Mag7) momentum crash extended, with the GS TMT Momentum Pair still unwinding while style baskets led (**Long GARP Software +8.4%, Long US Healthcare +5.3%, Long REITs/XLRE +4.5%**); **Theme 3 (Long Duration, Short Commodities)** was rebuilt in place. Digital assets: **no direct exposure — BTC remains Bearish TREND in a 61,777–65,103 Risk Range**, expressed via short **MSTY**.

Model Portfolio Changes | Effective 8/10/2026

Capital Allocation Pro · 08/10/26 12:41 PM EDT

The Capital Allocation team (Robert McGroarty, Andrew Nanai, David Salem) pushed **Model Portfolio changes effective on Monday, August 10th closing prices**, consistent with the #Quad3 rotation above. **Trend and Tail levels for the 68 ETFs** were refreshed using **July 31st closes**, on the standard 3–4 week update cycle, and the August Monthly Commentary was posted August 5th. Per the team's "pull vs. push" philosophy, an emailed alert is "signal, not noise." Specific line-item changes sit behind the subscriber Model Portfolio table.

Signal Strength Stocks: 72 Stocks (7 Added, 2 Removed)

Signal Strength Stocks · 08/10/26 12:29 PM EDT

The single-stock signal list expanded to **72 names**. **Added: AFRM, SITM, VIK, BA, U, BLMN, CCL** — a mix of fintech, semi-cap equipment, cruise/leisure (**CCL, VIK**), aerospace (**BA**) and casual dining (**BLMN**), consistent with the broadening, lower-vol tape. **Removed: APLE, FNF**.

Yesterday's Publications

Early Look: "Summer of '26"

Early Look · 08/10/26 07:46 AM EDT · Keith McCullough

What: The flagship daily macro note frames the "Summer of '26" as two acts — a **Monthly #Quad1 peak in June** and a **Monthly #Quad4 High-Beta Momentum Crash in July** — with the forward Quad Count at **3-1-2** for Aug/Sep/Oct.

Why: The July #Quad4 SLOWING data sets up **US jobs and inflation numbers the Fed reads as dovish** into August. The Global Currency Market confirms the shift: the **US Dollar Index fell -0.4% on the week** (Bearish TRADE and TREND), while **EUR (+0.4%), JPY (+0.8%), GBP (+0.2%) and CAD (+0.6%)** all moved Bullish TRADE/TREND.

Who / assets: Long **EUR, GBP, JPY, CAD, Gold, SPY**; short **EWY** (South Korea -7.8% on the week). Dollar's inverse TRADE correlations: **-0.76 to SPY** and **-0.59 to Gold**.

Key numbers: **Gold +7.4%** on the week (breakout back to Bullish TRADE and TREND); **SPY** all-time high Friday with **9 of 11 sector styles green**; **UST 2yr -8bps** (broke 4.25% TRADE), **UST 10yr -7bps** (4.60% in play); **High Yield OAS -15bps**; **MOVE Index broke TREND support of 74**.

Takeaway: Constructive on stocks and Gold for now; **Wednesday's July CPI** (expected down vs. June) is the next signal for whether the lower-yield / lower-dollar / higher-equity setup holds.

Risk Range™ Signals

Asset	Risk Range	TREND
UST 10Y Yield (UST10Y)	4.57 – 4.74	Bullish
High Yield (HYG)	79.03 – 79.85	Bullish
Investment Grade (LQD)	105.5 – 107.2	Bearish
S&P 500 (SPX)	7,526 – 7,896	Bullish
NASDAQ (COMPQ)	24,413 – 27,100	Bullish
Russell 2000 (RUT)	2,973 – 3,075	Bullish
Technology (XLK)	175 – 195	Bullish
Health Care (XLV)	161 – 168	Bullish
Real Estate (XLRE)	44.48 – 46.18	Bullish

Asset	Risk Range	TREND
Volatility (VIX)	13.51 – 17.80	Bearish
US Dollar Index (USD)	99.14 – 100.53	Bearish
Crude Oil (WTIC)	72.75 – 84.64	Bearish
Natural Gas (NATGAS)	2.60 – 2.81	Bearish
Gold	4,151 – 4,416	Bullish
Copper	6.41 – 6.83	Bullish
Silver	57 – 66	Neutral

MOMO Tracker | Mag7 (+0.7%), NFLX=NEUTRAL

Momentum Stock Tracker · 08/10/26 08:45 AM EDT

What: Daily momentum dashboard for the Mag7 and major equities. **Key numbers:** Mag7 +0.7%, NFLX flipped to **NEUTRAL**, Risk Range skew **+3.1% upside / -3.7% downside**, **positive Gamma**, **VIX = BEARISH**, and the corporate **Buyback Window is opening**. **Takeaway:** Positive gamma plus an opening buyback bid supports the constructive equity setup, though the RR skew tilts modestly to the downside.

The Macro Show — Summary Notes | Monday, August 10th, 2026

The Macro Show · 08/10/26 10:10 AM EDT

What: Keith McCullough & Daryl Jones' daily macro show. **Bullish:** EUR, JPY, Gold, Software, U.S. Equity ETFs, Refiners (**CRAK**), New Zealand (**ENZL**), Philippines (**EPHE**), Visa (**V**), Royal Caribbean (**RCL**), Ethereum (**ETH**). **Bearish:** US Dollar (**UUP**), Semiconductors, Memory (**DRAM**), South Korea (**KOSPI**), Israel (**EIS**), Qatar (**QAT**), Energy (**XLE**).

Why: The short-term setup is **dovish CPI, lower 2-year yield, lower dollar**. The **2yr broke 4.25% TRADE support**; Keith is short USD and **newly long the Euro**. **Long software / short semiconductors** is the marquee relative-value call — Hedgeye has bought software since mid-May (an outside software-only manager was **+21% in July**) and warns the crowded high-beta/momentum factor is effectively long semis / short software, the exact opposite of the book.

Key numbers: **Gold +7.4%** weekly (one of the largest weekly moves of Keith's career), ~9–10 consecutive higher lows. **XLE stopped out** (broke medium-term TRADE) but **refiners retained**; capital redeployed to the Euro. **Visa** and **Royal Caribbean** flagged as buys at the open. If **VIX → ~13.5**, model SPX upside moves to **~7,896**. The **MOVE Index broke TREND** — bearish equity vol + bearish bond vol + a bearish dollar is “probably the most bullish” development. Roughly **13–14 of 24 family ETFs** are U.S. equity exposures.

Takeaway: **Bullish now, #Quad4 later**. The quarterly path bends toward Quad4 into early 2027, but acting on that today would require the opposite book. Wednesday's CPI is a **catalyst, not a permanent thesis** — July slows, August (reported Sept 11) is expected to re-accelerate.

CRYPTO QUANT | BTC (+0.1%), BTC/ETH/SOL/BMNR = NEUTRAL

Bitcoin Trend Tracker · 08/10/26 06:55 AM EDT

What: Daily crypto quant/flows monitor. **Key numbers:** **BTC +0.1%** overnight; **BTC, ETH, SOL and BMNR all NEUTRAL**; U.S. spot **ETF flows +\$1.09B W/W**; **speculative net positioning rising**. **Takeaway:** Crypto momentum is neutral across majors with steady ETF inflows — on the Macro Show, **Ethereum** was cited as the preferred crypto expression on stronger Signal Strength.

Also Published (Yesterday, GMT+8)

Signal Strength / ETF Pro / Capital Allocation

Signal Strength Stocks: 67 Stocks (0 Added, 0 Removed) (08/10 08:36 AM EDT) — no changes ahead of the midday expansion to 72.

UPDATE: 7 New ETF Pro Changes (08/10 10:39 AM EDT) — the trade tickets implementing the #Quad3 monthly rotation into Defensive Compounders and the Dollar short.

Capital Allocation Pro — Daily Dashboard | Model Portfolios (08/10 09:26 AM EDT) — standard daily model-portfolio dashboard; references the 6 August Key Callouts video.

ETF Pro Plus — New Weekly Report (08/09 01:40 PM EDT) — routine weekly report drop.